

CHAPTER 8

Boomers and Boomerangs: When Generations Financially Collide

The Boomerang Generation is a difficult subject to broach with many parents who've welcomed their adult children home after years of postsecondary education. It's not always a joyous homecoming. Usually, the reason behind the move is that their child can't find a good job, let alone one that'll pay enough to cover bills and mounting student loan payments. A recent U.S. Census Bureau report claimed the percentage of young men who moved back home went from 14 percent in 2005 to 19 percent in 2011. It's no coincidence that the economy took a significant nosedive starting around 2008.

To the young adults out there moving back home: I understand why it's all too tempting to reclaim the ease and comfort of your old bed and the video-game console in your parents' basement. But here's the problem: It's crippling your parents financially. The Children's Mutual, a U.K. company that manages savings and investments for children, did a survey in 2010. It found that many parents who support their children between the ages of eighteen and thirty do so at considerable cost to their own financial health. As many as a third reportedly remortgaged their homes to help their adult children. Two-thirds said they made other adjustments, such as selling a car and cutting back on groceries and utility costs to financially assist their kids. Worse, fully 16 percent of those parents *expected* to spend this kind of money. This is insane.

Why are parents decimating their savings to help their kids? I have a theory: They're probably part of the baby boom generation. They